

Section B: case study and questions — 50 marks

The decision-making material will be pre-released on www.edexcel.org.uk in June of the previous year.

Total marks: 80

Note: students may be asked to carry out calculations and interpret or use data from graphs, tables or diagrams.

'Data' represents passages of text which may include graphs, table(s) of information or diagrams.

4.3b Unit content

4.3.1b Do markets always work?

Markets can be efficient mechanisms for allocating resources but they can have a social cost. This section looks at what we mean by market failure both in terms of what markets fail to provide as well as the unwanted side-effects they produce. This leads to a look at what the government can do about market failure.

Content	What students need to know	Teacher guidance
What market failure means	Less than optimum allocation of resources, public and merit/demerit goods. Equity and equality.	Look at market failure in terms of what isn't provided/or for which there is insufficient provision, for example defence/lighthouses (public goods) and health/education (merit goods). Also in terms of what is provided but what we don't need, for example drugs/pollution.
What externalities are and how they affect an economy	Social costs and benefits, examples of externalities, environmental and social, difficulties in measuring externalities, impact of externalities in short versus long run.	A practical look at what we mean by these terms and some of the difficulties in measuring them. What they mean to business and the economy, for example climate change.
To what extent are externalities acceptable?	Social benefit and social cost, cost-benefit analysis – its limitations and usefulness in decision making.	How much of an externality should we accept? Can we use decision making tools such as cost-benefit analysis to help here? Are they effective?
What the government can do about it	Control of externalities by legislation, regulation, taxation, tradable permits. Effectiveness of various policies.	There are many case studies available to help illustrate this section, both from the UK and abroad. Websites from pressure groups such as Greenpeace, Transport 2000 and others can be used to look at alternative and even radical solutions, as well as opposing points of view. These can form the basis of useful class discussion and practise in evaluating alternative policy options.

4.3.2b Should markets be regulated?

This unit looks particularly at how markets can work against the public interest and how the consumer can be adversely affected. It also looks at how the government tries to protect the public and the instruments it uses. Finally, the unit looks at how effective this intervention is and the impact it has on businesses in the UK.

Content	What students need to know	Teacher guidance
Why regulation is needed	Protection of consumers. Cartels, collusion, restrictive practices. Effects of restrictive trade practices on prices and competition; consequences for businesses and the consumer. Issue of natural monopolies.	There are opportunities here to use real-life case studies to illustrate the theory. Useful websites include: ■ http://www.competition-commission.org.uk/ ■ http://ec.europa.eu/comm/competition/index_en.html ■ http://www.oft.gov.uk/
What the government does	Role of Office of Fair Trading, Competition Commission and EU Commission. Use of regulatory bodies. Provision of legal framework and consumer protection. Consequences for businesses.	Use the above websites for extra information. A look at recent cases and how they have impacted on businesses would be useful as would those cases where expansion plans have been halted by the Competition Commission. The above websites have plenty of examples that could be used here. It would be worth spending some time in class evaluating the effectiveness of these cases in actually changing behaviour and to what extent they benefit consumers and businesses.
The effects of these policies and the implications for business	Effectiveness of policy, government failure and reasons for it. Effects of regulation on businesses such as costs and competitiveness.	

4.3.3b Can the government control the economy?

The government uses various policies to try and influence the course our economy takes. This section looks at these policies, the difficulties in implementing them and how effective they are in their outcome. It also looks at the impact they have on businesses, their output and competitiveness.

Content	What students need to know	Teacher guidance
What the government does	Government policy, fiscal, monetary and supply side. What they are and how they work.	It would be useful to be aware of current trends and the state of some of the leading economic indicators. Although technically the government does not set the base rate it is still one of the ways in which the UK economy is controlled. Useful information can be gained from the media, for example newspapers.
The effectiveness of government action	Effectiveness of policy and the difficulties in controlling the economy. Short and long term. Importance of other factors such as shock and global trends. Trade-offs involved in policy choices. Effects on business, profitability and competitiveness.	

4.3.4b Should government intervene in society and what effects will it have?

Students need to consider the reasons for government intervention in society and how this affects not just business but the economy as a whole. Students need to be aware that this intervention can be controversial and that there is no 'right' answer to the situation. The use of current issues is an integral part of the unit. At the time of writing road use and road pricing are high on the agenda.

Content	What students need to know	Teacher guidance
Why the government redistributes wealth	Equity and equality, causes of inequality. Impact of inequality and poverty on business and the economy. The poverty trap. Impact of redistribution on business and economic welfare.	Useful figures as to the levels of taxation and expenditure can be found at: ■ http://www.statistics.gov.uk/ ■ http://www.hm-treasury.gov.uk/index.cfm.
How and why the government intervenes to regulate behaviour. The extent to which government should intervene	Use of case studies to tackle these issues: ■ healthcare obesity/alcohol ■ the environment and re-cycling ■ transport, cars and public transport. Students should examine potential policies which could be used to address these cases.	There is current material in the media as well as on government websites and www.bized.ac.uk . Students should be encouraged to conduct their own investigations into the issues and also to evaluate possible solutions. It may be useful to follow the suggestions outlined in 4.3.1b and look at various pressure groups' websites. Students could be encouraged to prepare cases for and against the issues in a debate, for example 'Road pricing is the best way to reduce road use' or 'The government should do more to combat climate change'.
The implications for business	Changing pattern of demand for goods and services. Regulation and competitiveness. Opportunities for innovation and growth. Threat to some established businesses. Effect on trade.	Students should be encouraged to look into the implications of previous case studies for businesses. For example, 'How will the imposition of a fat tax affect the food industry?'

D Assessment and additional information

Assessment information

Assessment requirements

For a summary of assessment requirements and assessment objectives, see *Section B, Specification overview*.

Entering candidates for this qualification

Details of how to enter students for the examinations for this qualification can be found in Edexcel's Information Manual, a copy of which is sent to all examinations officers. The information can also be found on Edexcel's website: www.edexcel.org.uk.

Resitting of units

There is no restriction on the number of times a unit can be attempted prior to claiming certification for the qualification. The best available result for each contributing unit will count towards the final grade.

Results of units will be held in Edexcel's unit bank for as many years as this specification remains available. Once the Advanced Subsidiary (AS) or Advanced Level qualification has been certificated, all unit results are deemed to be used up at that level. These results cannot be used again towards a further award of the same qualification at the same level but unit results used for an AS award remain available for use in an Advanced GCE Level award.

Awarding and reporting

The grading, awarding and certification of this qualification will comply with the requirements of the current GCSE/GCE Code of Practice for courses starting in September 2008, which is published by the Qualifications and Curriculum Authority. The AS qualification will be graded and certificated on a five-grade scale from A to E. The full GCE Advanced level will be graded on a six-point scale A* to E. Individual unit results will be reported.

A pass in an Advanced Subsidiary subject is indicated by one of the five grades A, B, C, D, E of which grade A is the highest and grade E the lowest. A pass in an Advanced GCE subject is indicated by one of the six grades A*, A, B, C, D, E of which Grade A* is the highest and Grade E the lowest. To be awarded an A* students will need to achieve an A on the full GCE Advanced level qualification and an A* aggregate of the A2 units. Students whose level of achievement is below the minimum judged by Edexcel to be of sufficient standard to be recorded on a certificate will receive an unclassified U result.

Performance descriptions

Performance descriptions give the minimum acceptable level for a grade. See *Appendix 1* for the performance descriptions for this subject.

Unit results

The minimum uniform marks required for each grade for each unit:

Units 1, 2a, 2b, 3, 4a, 4b.

Unit grade	A	B	C	D	E
Maximum uniform mark = 100	80	70	60	50	40

Candidates who do not achieve the standard required for a grade E will receive a uniform mark in the range 0–39.

Qualification results

The minimum uniform marks required for each grade:

Advanced Subsidiary Business Studies Cash-in code 8BS01

Advanced Subsidiary Economics and Business Cash-in code 8EB01

Qualification grade	A	B	C	D	E
Maximum uniform mark = 200	160	140	120	100	80

Candidates who do not achieve the standard required for a grade E will receive a uniform mark in the range 0–79.

Advanced GCE Business Studies Cash-in code 9BS01

Advanced GCE Economics and Business Cash-in code 9EB01

Qualification grade	A	B	C	D	E
Maximum uniform mark = 400	320	280	240	200	160

Candidates who do not achieve the standard required for a grade E will receive a uniform mark in the range 0–159.

Language of assessment

Assessment of this specification will be available in English only. Assessment materials will be published in English only and all work submitted for examination and moderation must be produced in English.